

5.3 Revenue, costs, profit and loss

- The concept of revenue, costs and profit and loss in business and their importance in business decision-making
- The different costs in operating a business
- Calculation of costs and revenue
- Calculation of profit/loss
- Calculation and interpretation of profitability ratios
- Calculation and interpretation of average rate of return

- ✓ fixed, variable, total
- ✓ gross profit, net profit
- ✓ gross profit margin, net profit margin